

of them are closed with bear markets closing slightly faster than bull markets.

Average gap size. The average gap size varies with the largest appearing in bear markets with downward gaps.

Trading Tactics and Sample Trade

[Table 36.6](#) lists trading tactics for gaps. To successfully trade gaps you have to be quick, making sure to use stops, and you have to be ready to close out a trade at a moment's notice. Still, they can be profitable. Consider what Gina did with the situation shown in [Figure 36.3](#).

As a seasoned investor, Gina knew all about gaps and practiced trading them on a trading simulator until she was successful most of the time and comfortable taking a loss. The practice honed her skills and pulling the trigger seemed rote.